The FOMC's delicate balancing act gets trickier

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Developments in recent weeks highlight the delicate balancing act ahead for the FOMC. The adverse February jobs report re-wrote expectations for the labour market. Meanwhile, the joint US/Israel strikes on Iran and consequent extreme volatility in energy prices have sparked fears of yet another inflation threat. Tariffs may have taken a back seat of late, but they also remain a risk to US inflation and, perhaps more significantly, activity growth into the medium term.

In February, 92k jobs were reportedly lost in the US, in stark contrast to the sanguine consensus expectation for a 55k gain. Growth over the prior two months was also revised down 69k. As a result, the 3-month average is now just +6k compared to +50k in January, and the 12-month average is +13k versus +89k the year prior. Hope that a nascent lift in job creation since October could turn into a sustainable up-trend has proved fleeting, with downside risks now a concern amongst both policy makers and market participants.

Labour demand is not the only issue though. The February employment report also included annual revisions to the household survey which removed half of the previously reported increase in the participation rate and employment-to-population ratio since the pandemic. Given current immigration restrictions, this revision points to labour supply being structurally constrained in the US, creating challenges for skills matching and hence wage pressures. On the latter, the 3.8%yr gain in average hourly earnings in February is notable given the past year of little-to-no growth in labour demand. Persistent soft readings for the ISM employment indexes and anecdotes from the Beige Book also suggest that weak labour demand and restricted supply will persist near-term.

While the soft labour market has impacted sentiment, as yet there is little evidence of the loss of momentum in employment materially affecting spending, with annual personal consumption growth having only slowed to around trend. The most recent retail sales data does imply a further deceleration over December and January, but month-to-month movements can be misleading.

Of course, this data pre-dates the military operation in the Middle East which has seen the price of Brent oil rise from US$60/bbl in early-January to an intra-day peak of US$119.50 this week, then below US$80 briefly, now US$103. With its strategic reserves, domestic production, and ability to alter sanctions on Russian crude, the US has the capacity to mitigate the hit to supply from the conflict. A release of reserves and the removal of a temporary restriction on Russian oil supplies to India have already been announced. Further steps may be taken.

But as a result, at least in March, US consumers will experience a material step up in the cost of gasoline. Thereafter, the price shock is likely to also flow through transport services and potentially other parts of the economy where tariffs have already compressed profit margins. These secondary effects will make it that much more difficult for the FOMC to bring headline inflation back down to target over the coming year.

Also worthy of note, a loss of tariff revenue, higher energy inflation, increased military spending, and domestic capacity constraints are collectively expected to result in an up-trend in Treasury yields and the market rates they inform. This could unnerve investors, businesses and households if paired with a further loss of momentum, restricting the outlook for investment and threatening accumulated wealth. These uncertainties not only have the capacity to adversely impact the economy in the near term, but also well into the future. Indeed, the hit to investment could prove open-ended absent a change of direction around trade and industrial policy.

What is the FOMC to make of current circumstances? At the March meeting, we expect they will remain on hold and note the significant upside risks to inflation but also the downside risks for activity, should the conflict and market ructions persist. They will also be attuned to the evolution of financial conditions: while highly unlikely before the March meeting, a rapid increase in term interest rates, for example, would warrant a much more dovish assessment when setting the policy rate.

We expect the up-trend in term interest rates to play out slowly and so continue to hold one further cut by the FOMC this cycle, most likely in June. This expectation is based more on the recent labour market data and related anecdotes than expectations of a material deterioration in demand due to developments in the Middle East. The Q4 GDP disappointment aside, we have only edged down our GDP forecast for 2026 and 2027 because of the conflict. Inflation risks are set to remain dominant, but not pressing, in our view.

This analysis first appeared in Westpac Economics' March Market Outlook.

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